DATA ANALYTICS CASE COMPETITION

Department of Economics

CASE STUDY

India's Housing Credit Industry:

Fault Lines in the Architecture of Credit

Industry:	Financial Economics — Housing Credit & Banking
Submission window:	6th April
Deliverable:	PowerPoint presentation (5–10 slides)
Team size:	1–4 members

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Section 1: Background & Context

India's housing finance sector is one of the most structurally complex credit markets in any emerging economy. Over the past two decades, it has grown from a bank-dominated system into a multi-player architecture involving four distinct types of lenders: Public Sector Banks (PSU Banks), Private Sector Banks, Housing Finance Companies (HFCs), and Non-Banking Financial Companies (NBFCs). Together, they have driven India's housing credit outstanding to over ₹28 lakh crore by FY2025 — growing at a compound annual rate of approximately 13% over the past five years.

Each player type occupies a distinct niche. PSU Banks, backed by government ownership and a vast branch network, dominate lending to salaried, MSME, and low-income borrowers — largely driven by their Priority Sector Lending (PSL) obligations. Private Banks target higher-value, lower-risk segments: developer loans, NRI borrowers, and self-employed professionals. HFCs — regulated by the National Housing Bank (NHB) — specialise in affordable housing but fund themselves primarily through bonds and NCDs rather than deposits. NBFCs occupy the riskiest end: they serve borrowers that banks reject, using short-term wholesale funding sources such as Commercial Paper (CP).

1.1 The Four Players at a Glance

Player Type	Regulator	Primary Funding Source	Key Borrower Segments	PSL Obligation?
PSU Banks	RBI	CASA Deposits	Salaried, MSME, EWS/LIG	Yes — 40% of ANBC
Private Banks	RBI	CASA + Term Deposits	Self-employed, NRI, Developer	Yes — 40% of ANBC
HFCs	NHB/RBI	NCDs, NHB Refinance	Affordable housing, Salaried	Partial
NBFCs	RBI	Commercial Paper, Bank Lines	MSME, Self-employed, LAP	No

1.2 The Problem: Who Is Being Left Behind?

Despite this multi-player system, access to affordable housing credit remains deeply unequal. Borrowers in the Economically Weaker Section (EWS) and Low Income Group (LIG) — defined as households earning below ₹3 lakh and ₹6 lakh per year respectively — represent the majority of India's housing demand but receive the smallest share of formal credit. High loan rejection rates, limited reach in Tier-2 and Tier-3 cities, and a structural preference by private lenders for low-risk, high-value borrowers have created a persistent credit gap at the base of the income pyramid.

Simultaneously, the lenders most willing to serve underserved borrowers — HFCs and NBFCs — face a structural cost disadvantage. Unlike banks, they cannot accept retail deposits. They fund themselves at higher cost through wholesale markets, making their loans more expensive and their balance sheets more fragile when interest rates rise.

The Central Question

India's housing credit system has grown rapidly — but has it grown equitably? Which borrowers and geographies are being systematically underserved, and what does the data reveal about why? Your task is to analyse the dataset, draw evidence-based conclusions, and recommend a policy response.

Section 2: The Dataset

You are provided with IndiaCreditIndustry_MasterData.xlsx — a structured dataset with four sheets. All values are clean and consistently formatted. Explore all sheets before beginning your anal

ysis.

Sheet	What it contains	Key columns
1_SectorFinancials	Annual financials by player type: AUM, disbursements, NIM, Cost of Funds, Gross NPA, CRAR (FY2020–FY2025)	FY, Player_Type, AUM_INR_cr, Disbursements_INR_cr, NIM_pct, CoF_pct, GrossNPA_pct, CRAR_pct
2_CreditAccess	Loan-level summary by player type, borrower segment, city tier, and loan size band: volumes, rejection rates, average ticket size	FY, Player_Type, Borrower_Segment, City_Tier, Loan_Size_Band, Volume_INR_cr, Rejection_Rate_pct, Avg_Ticket_INR_lakh
3_FundingStructure	Annual funding mix breakdown for HFCs and NBFCs: NCD, bank borrowings, and commercial paper shares	FY, Player_Type, NCD_share_pct, BankBorrowing_share_pct, CP_share_pct, Avg_CoF_pct
4_MacroIndicators	Quarterly macro data: RBI Repo Rate, 10-year G-Sec yield, India CPI, NHB House Price Index (Metro and Tier-2)	Quarter, FY, RBI_Repo_pct, GSec10Y_pct, India_CPI, NHB_HPI_Metro, NHB_HPI_Tier2

Section 3: Questions

Answer both questions. Each carries equal weight. There is no single correct answer to Question 2 — you will be judged on how clearly you reason, how well you use the data, and how specific your recommendation is.

Question 1 | Reading the Credit Landscape

Part B — Who serves whom?

Using Sheet 2, build a **Borrower Segment × Player Type matrix** showing total disbursement volume (in ₹ crore) for each combination, averaged across FY2021–FY2025. For each borrower segment, identify the dominant player. Which segment has the lowest total disbursements — and why does that matter?

Part C — Where are loans being rejected?

Using Sheet 2, identify the **three borrower-segment and city-tier combinations with the highest average rejection rates**. For each, note the player type involved. What pattern do you observe — is rejection concentrated in a particular segment, geography, or lender type?

Part D — Financial health of lenders

Using Sheet 1, compare the **average Gross NPA% and Net Interest Margin (NIM%)** across all four player types over FY2020–FY2025. Which player type is under the most financial stress? Use at least one chart to support your answer.

Question 2 | What Should Be Done?

C — NHB refinance windowThe National Housing Bank opens a dedicated low-cost refinance window for HFCs and NBFCs lending to EWS/LIG borrowers, at Repo Rate + 50 bps. This directly cuts the cost-of-funds disadvantage for non-bank lenders.

D — Unified credit bureau for informal borrowersMandate a centralised credit bureau that aggregates GST data, UPI transaction history, and utility bill records to build credit scores for self-employed and informal-income borrowers who lack ITRs or formal payslips.

Part C — Make your recommendation

Choose **one option (or a combination of two)** that you would recommend as the most effective intervention. Your recommendation must: (1) name the option(s) explicitly, (2) link back to your diagnosis in Part A, (3) explain the economic logic in plain terms, and (4) honestly state what your recommended option does **not** solve.